A higher price for cocoa would reduce your profit on your candy bars. You "hedge" against this threat by buying cocoa futures. In effect, you've contracted for a later delivery at today's prices.

On the other hand, if you're the cocoa farmer and worried the price will drop before you bring your cocoa to market, you do the reverse. You sell the cocoa futures so you'll receive today's prices for what you'll harvest later.

Hedging, also known as price insurance, was the celebrated rationale of the entire futures industry from corn to T-bonds. Both the Chicago Board of Trade and the Mercantile Exchange employed staffs of economists to prove that all the newest proposed contracts—the housing-starts contract, for example—would be useful to somebody in a regular business, and not just to speculators and gamblers. There were workshops on hedging, seminars on hedging, entire courses on hedging that explored every conceivable serious purpose.

Yet from what I could gather firsthand, an actual hedger was sometimes hard to find. Agricultural-commodity futures had been bought and sold for a century, yet farmers were notoriously light hedgers. Though there was little official enthusiasm for a census of hedgers, a recent study from the Futures Industry Association concluded that only 5.6 percent of all agricultural futures were bought by hedging farmers. In fact, many farmers blamed the commodities markets for their economic problems, and the only reason they'd get near the Mercantile Exchange would have been to picket it.

In all the other futures markets, the official word was that 10 percent of the participants were hedgers. That meant that 90 percent were in it for the gambling. I began to suspect there were about as many legitimate hedgers in agriculture, currencies, and other futures as there were owners of racehorses who hedged their investments by betting against their own stable—which is to say, hardly any. What we had, instead, was a giant wagering game disguised as insurance.

On a personal level, I'd met investors in the stock market who hedged their portfolios by buying puts or calls, then pretty soon they'd bought more puts or calls than they needed for insurance, and after that they were sucked into the puts-and-calls business,